

05_Hypotheses

Hypotheses Overview

Hypotheses are analytical assumptions created to identify possible factors influencing customer retention, operational efficiency, and revenue growth. These hypotheses will later be tested using data analysis, SQL analysis, and business intelligence techniques.

1. Customer Retention Hypotheses

Hypothesis 1

Customers who purchase more frequently are more likely to become long-term retained customers.

Hypothesis 2

High-value customers contribute a disproportionately large share of total revenue.

Hypothesis 3

Customers with long gaps between purchases are more likely to churn.

2. Product Performance Hypotheses

Hypothesis 1

A small number of product categories generate the majority of revenue.

Hypothesis 2

Low-performing products contribute less to customer engagement and repeat purchases.

Hypothesis 3

Products with higher review ratings are associated with stronger sales performance.

3. Revenue Growth Hypotheses

Hypothesis 1

Revenue growth is strongly influenced by repeat customers rather than one-time buyers.

Hypothesis 2

Higher average order value contributes significantly to overall revenue growth.

Hypothesis 3

Seasonal purchasing trends affect monthly revenue performance.

4. Operational Hypotheses

Hypothesis 1

Delivery delays negatively impact customer satisfaction and repeat purchases.

Hypothesis 2

Operational inefficiencies contribute to lower customer retention.

Hypothesis 3

Faster delivery performance improves customer review ratings.

5. Customer Experience Hypotheses

Hypothesis 1

Customers who provide lower review ratings are less likely to make repeat purchases.

Hypothesis 2

Customer satisfaction directly influences long-term retention.

Hypothesis 3

Negative customer experiences increase the probability of churn.

6. Geographic Hypotheses

Hypothesis 1

Certain regions contribute disproportionately to total revenue.

Hypothesis 2

Customer purchasing behavior varies across cities and states.

Hypothesis 3

Delivery performance differs significantly by geographic region.

Why Hypotheses Matter

Hypotheses help guide analytical thinking by connecting business problems with measurable data analysis. They provide direction for data analysis, KPI evaluation, dashboard reporting, and business recommendations throughout the project.